Extra exercises of Lecture 17

EX 1
If an investor exits from a closed-end mutual fund, by selling its shares to others, he/she obtains:
a) the book value of his/her shares
b) the market price of his/her shares
c) the liquidation value of the fund's assets
d) none of the other options

EX 2
Compared to mutual funds, hedge funds are …
a) more heavily regulated to contain the gambling of wealthy investors
b) less heavily regulated to protect their financially less sophisticated investors
c) less heavily regulated since their wealthy investors are presumed to be more financially sophisticated
d) more heavily to have lower fees

EX 3
Consider an open-end mutual fund with the following assets: 250 shares of Microsoft, 100 shares of Apple, and 30 shares of General Motors. Market prices of these shares are $50, $100, and $30, respectively. The fund has also $2,100 of cash and 500 shares outstanding. How many shares of the mutual fund do you receive if you invest $5,100 into this fund (proxy decimals to units)? Assume that the fund charges no fees.
a) 100
b) 200
c) 275
d) 226

EX 4
An open-end mutual fund has the following assets: 200 shares of Mickey Mouse, 100 shares of Donald Duck, and 300 shares of Uncle Scrooge. The current market prices of these shares are $2, $2, and $2, respectively. Apart from stocks, the fund has $150 of cash and $180 of liabilities. The fund has 600 shares outstanding. If the fund charges a 4.9% upfront fee, how many mutual fund shares do you receive if you invest $205 into this fund?
a) 250
b) 371
c) it cannot be determined with available data
d) 100